

May/June 2022 12

1-D:

Sunlight is a free good because it's readily available and its use by one person doesn't limit its availability to others.

Why not other options?

A- defence is a public good that is non rival and non excludable

B- education is a merit good and private goods

C- health services is a merit goods and private goods

2-B:

Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process.

A student takes \$5 out of \$100 from her savings account. So the opportunity cost what she purchased from that \$5 and what she could purchase from that \$5.

Why not other options?

A- \$95 is saved rather than spent so no opportunity cost for this amount of money that being saved in this context

C- there is a opportunity cost

D- there is opportunity cost for a party as well she could spend time with her families or study either

3-C:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

From the given diagram, we can identify that point K to L is causing the PPC to move outwards. We need to identify the factors from the given options that will cause this shift.

Option C says that an investment would cause the PPC shift outward as it improves the quality of a capital and caused shift in ppc from point K to L

Why not other options?

A- ppc shows a combination of two good an economy can produce within in existing resources

B- recession would cause the ppc to move inward and this is not the case

D- unemployed resources improve and this cause the movement inside the ppc towards ppc

4-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

The relationship between inflation rate and unemployment rate would easily be studied. For instance if inflation rate increases, the unemployment rate falls and vice versa. Thus we have a attained the negative relationship between these two objectives

Why not other options?

B- Micro — economies and diseconomies of scale

- C- Micro — law of demand
- D- Micro — demand for labour

5-D:

An economic system based on supply and demand with little or no government control known as free market economy

In a market economy, the inequality of income would increase because this system allocates resources according to the ability of a consumer to pay for goods and services. This could be a possible disadvantage of this economy

Why not other options?

A- incentive to work is high due to different job opportunities available, high wages and good working conditions

B- low levels of pollution could be an advantage in this economy but this is not possible as firms continue to produce without any government laws and orders

C- high efficiency could be an advantage in this system

6-B:

A decrease in the price of complement goods will shift the demand curve rightward.

For example if the price of cars fall, the demand for petroleum will increase and therefore shift out the demand curve

Why not other options?

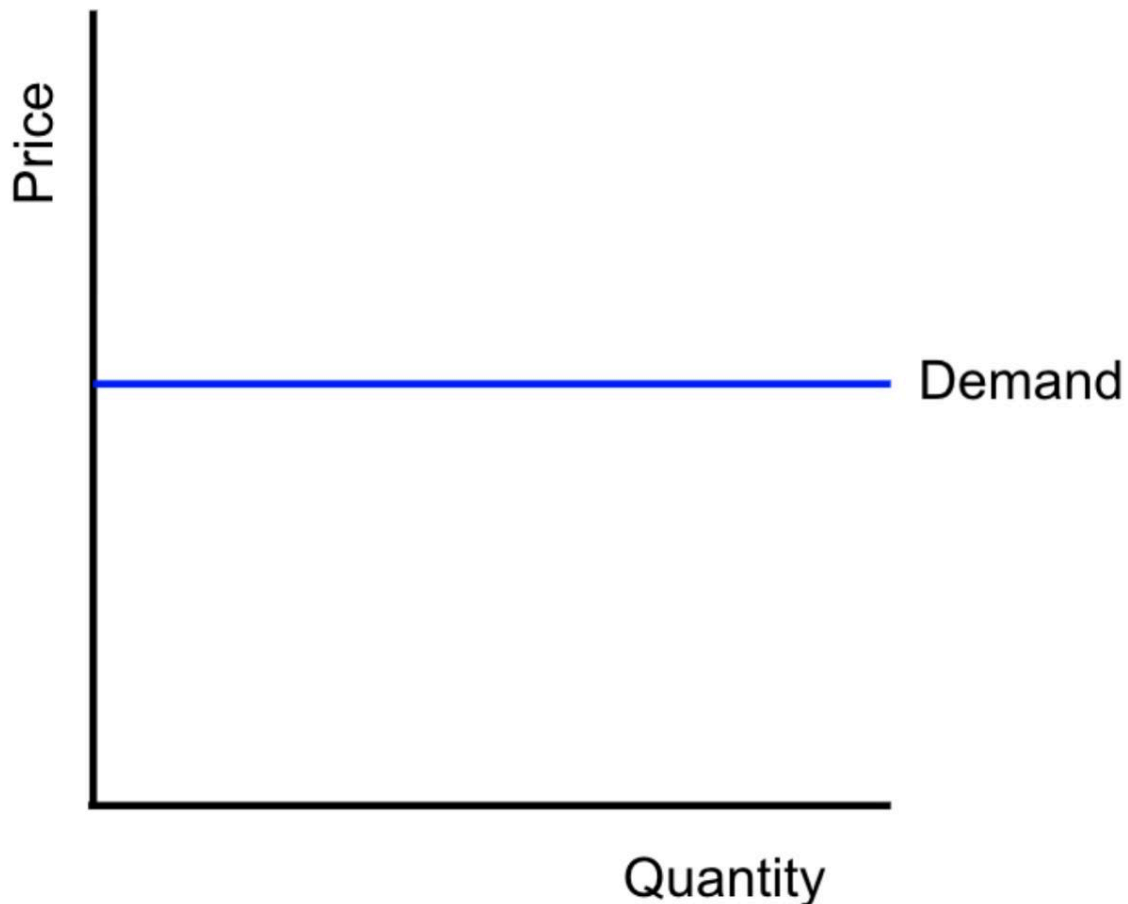
A- a decrease in disposable income would reduce the demand for normal goods

C- decrease in the price of substitute will decrease the demand for its alternative products as well as consumers would continue to keep consume the same products

D- decrease in price would cause movement along the curve and not shift

7-D:

A perfectly elastic demand curve will be a straight line (horizontal) on a graph, where the x-axis will be the quantity, and the y-axis will be the price of the product. The market demand for a product is directly tied to the price of the product.



Why not other options?

- A- downward sloping demand curve
- B- perfectly inelastic demand where PED is 0
- C- unitary supply as it starts from origin

8-C:

A market surplus, also known as excess supply, occurs when the quantity of a good or service supplied by producers exceeds the quantity demanded by consumers at the current market price. This situation typically leads to a downward pressure on price as sellers try to get rid of excess inventory.

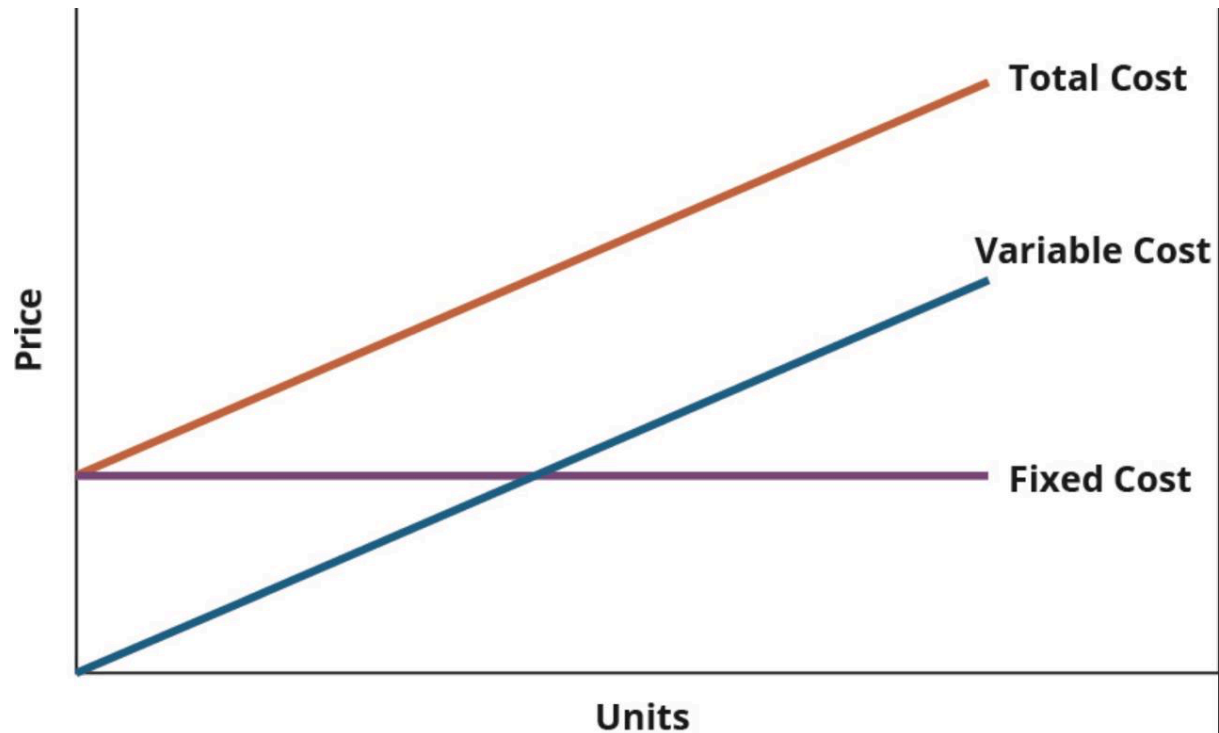
A Market Shortage occurs when there is excess demand- that is quantity demanded is greater than quantity supplied and it occurs when the prices fall below of the equilibrium. From the given situation, at first price is \$2.00 where QS(\$25) exceeds with QD(\$10) that is surplus in a market by \$15. Now the price now fallen to \$1, where QD(\$30) is greater than QS(\$15) and causing a shortage in a market by \$15.

Therefore we can see that a market moves from surplus to shortage after the fall on price

Why not other options?

- A- changes in price will cause movement not shift in the diagram
- B- from the above explanation, the market move from the surplus to shortage
- D- change in price will cause movement not shift in the diagram

9-D:



The distance QS is the total variable cost as PS is the total cost and PQ is the total fixed cost. The distance QR is nothing.

10-A:

Barriers to entry limit the number of firms in the market, reducing the competitive pressure on the monopolist. With fewer competitors, the monopolist can charge higher prices without losing significant market share.

Why not other options?

B- diseconomies of scale will result in higher average total cost and thus this reduces the profits for monopolist

C- more elastic demand for products, more substitutes available in a market and thus the price have to keep low and as a result the profits will be lower

D- in monopoly, there is low or no substitutes available for its products as it is single seller for its products in a market

11-B:

The tertiary industry is the part of the economy that provides services rather than producing goods, and includes medical providers, educators, financial services, and personal services, among others.

Tertiary sector at a small scale could only be a hairdresser from the given options

Why not other options?

A- primary sector

C- manufacturing sector

D- tertiary sector but at a large scale

12-A:

Germany is a capital intensive country that means that capital is cheaper in that country while Indonesia is a labour intensive country where labour is cheaper than capital.

Why not other options?

B- if Germany has capital intensive production so there couldn't be a large primary sector as it mainly involves manual labour

C- Indonesia may have a high population size due to high birth rate, low death rates and more immigration but it doesn't mean that Indonesia employ more labours

D- if there is low cost of labour in Germany than more labours employed instead of capital

13-D:

Loss making firms or banks continue to operate when the firms has an objective to maximise the social welfare or working for an aim for society

Why not other options?

With other objectives mentioned can't be operate with loss making branches

14-C:

Person Z spent 50% of their income on basic necessities that indicates that it is the lowest income earners from the group

While person X spent 30% of their income on the food, clothes and housing

Person Y spent 40% of their income on the luxury goods that indicates that it is highest income groups

Hence we find out our group from Z—X—Y

15-A:

The functions of a central bank can be discussed as follows: Currency regulator or bank of issue, lender of last resort, bank to the government, controlling of monetary policy etc Commercial banks play a crucial role in the economy by providing essential financial services. Their key functions include accepting deposits, providing loans, facilitating payments, offering foreign exchange services, and assisting with investments.

16-C:

Government spending on a public goods is law and order and defence that is
 $\$5050 + \$2390 = \$7,440.00$ million

Why not other options?

Other government spending are on merit goods such as education and health services

17-C:

A specific tax is also known as indirect tax. An indirect tax imposed would likely reduce the supply from S1 to S2. While the advertising campaign would likely reduce the demand for cigarettes and this shift the demand leftward from D1 to D2 as shown in the diagram of option C.

18-D:

Expansionary Monetary policy involves central banks' use of instruments to influence interest rates by lowering it and/or increasing the money supply in the economy with the objective to keep overall prices and financial markets stable.

19-A:

Supply-side economics holds that increasing the supply of goods translates to economic growth for a country.

In supply-side fiscal policy, tax cuts, lower interest rates, and deregulation help foster increased production.

Geographical and occupational mobility would improve labour mobility and thus encourage the labour movement around an economy and hence increase the AS

Why not other options?

B- contractionary fiscal and monetary policy tools

C- expansionary fiscal policy

D- tax will be raised to fund the pension and this will contractionary fiscal policy tool

20-B:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Why not other options?

A- potential would fall due to fall in labour productivity

C- an increase in CPI would increase the rate of inflation

D- recession means would negative growth and thus unemployment would rise

21-B:

Geographical mobility of labor refers to the willingness and ability of workers to move from one location to another in search of employment

Unemployment in one region while job vacancies in one region means that workers are geographically immobile and thus this make it expensive for workers to live in those areas where jobs are available

Why not other options?

A- low cost of employing workers then the unemployment would be low

C- if same skilled required then vacancies would be filled

D- if geographical mobility increase, then workers would move to those areas where jobs are available easily

22-D:

Inflation is the rate of increase in prices over a given period of time

To reduce the level of inflation, we need to reduce the AD in an economy

Increasing the rate of interest: higher rate of interest would likely to encourage savings and discourage investment and appreciate the currency. As a result, the consumption, investment and trade surplus would fall. Hence, the prices starts to fall

Decreasing the government spending: low government spending would reduce the AD and thus prices start to fall

23-C:

Increasing the progressive taxation would likely to increase the tax revenue for the government and this likely to reduce the budget deficit

Also higher progressive taxes would likely impact the rich more and give more funds to the government to support the poor people. As a result, the poverty would likely to reduce

Why not other options?

A- low progressive tax would likely to increase the budget deficit and poverty

B- low government spending would likely to reduce the budget deficit but it also reduce the welfare benefits and thus poverty would increase

D- increasing the spending on the welfare benefits would likely to reduce the poverty but increase the budget deficit

24-C:

The Human Development Index (HDI) has three key components: health, education, and standard of living.

Life expectancy at birth and expected years of schooling are the sub components of HDI and comes under health and education protection

25-C:

Early retirement would likely to decrease the size of labour force as people would leave the market more quickly than often

Why not other options?

A- fall in average size of families would not be immediate effect and it would take years to reduce the size of labour force

B- same as above

D- increase in net migration means more people coming into an economy and thus increase

26-D:

Increase in productivity will increase efficiency. A higher efficiency will reduce the cost per unit of producing each unit of output and thus output will increase. A higher output would contribute to a higher standard of living.

Why not other options?

A- an increase in budget surplus would likely to increase the rate of taxation that means consumers disposable income would fall. A low income means low savings

B- an increase in consumer spending would likely increase the consumption and thus more spending in an economy. As a result, AD would increase and unemployment would fall

C- an increase in inflation rate would likely to make the exports uncompetitive and thus trade surplus would reduce

27-C:

Devaluation is a strategic adjustment that governments use to lower the value of their national currency relative to other currencies.

Why not other options?

Appreciation and depreciation occurs under a floating exchange rate

Revaluation occurred when the price of a currency increased

28-A:

An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period.

Removing the import quotas means that more imports would be entering into an economy and thus the demand for domestic products would start to diminish, reducing domestic production and consumption as a whole.

Why not other options?

B- domestic unemployment will likely to increase as domestic demand is falling due to more imports coming into a country

C- no information about the exports

D- more imports coming that's means the trade deficit will increase

29-C:

Currency depreciation is the decline of a currency's value relative to another currency.

Depreciation makes the exported goods cheaper and imported goods relatively expensive.

As a result, the export revenue will increase and import expenditure will fall.

Why not other options?

A- trade surplus will increase as imports will fall and exports will increase. Therefore the export revenue will increase and import expenditure will fall, increasing the trade surplus

B- depreciation would result in fall in exports prices

D- the rate of inflation will increase as the trade surplus increases. This will result in rise AD and thus prices start to rise

30-B:

Benefits: mining process will create job and employment opportunities so it would be benefit to the low income MNCs

Cost: Minerals are non renewable resources and they will deplete with time